

CAR & GENERAL (KENYA) PLC

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER
COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 SEPTEMBER 2017

	Notes	2017 Sh'000	2016 Sh'000
REVENUE	4(b)	9,635,150	9,735,788
COST OF SALES		(8,184,936)	(8,152,768)
GROSS PROFIT		1,450,214	1,583,020
OTHER INCOME	5	257,508	32,506
GAIN IN FAIR VALUE OF INVESTMENT PROPERTIES	13	229,496	153,761
SELLING AND DISTRIBUTION COSTS		(622,406)	(614,235)
ADMINISTRATIVE EXPENSES		(739,836)	(621,259)
FINANCE COSTS	6	(407,625)	(392,655)
NET FOREIGN EXCHANGE (LOSSES)/GAINS		(61,878)	9,140
SHARE OF LOSS IN AN ASSOCIATE	19	(1,221)	-
SHARE OF LOSS IN A JOINT VENTURE	20	(5,947)	-
PROFIT BEFORE TAXATION	7	98,305	150,278
TAXATION CHARGE	9	(18,464)	(61,406)
PROFIT FOR THE YEAR		79,841	88,872
OTHER COMPREHENSIVE INCOME:			
<i>Items that will not be reclassified subsequently to profit or loss:</i>			
Revaluation surplus on property, net of deferred tax		52,326	103,794
<i>Items that may be reclassified subsequently to profit or loss:</i>			
Exchange differences arising on translation of foreign operations		(12,899)	24,760
		39,427	128,554
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		119,268	217,426
PROFIT FOR THE YEAR ATTRIBUTABLE TO:			
Owners of the parent		68,480	89,057
Non-controlling interests	10	11,361	(185)
Profit for the year		79,841	88,872
TOTAL COMPREHENSIVE INCOME ATTRIBUTABLE TO:			
Owners of the parent		107,907	217,611
Non-controlling interests	10	11,361	(185)
Total comprehensive income for the year		119,268	217,426
		Sh	Sh
EARNINGS PER SHARE – basic and diluted	11	1.71	2.22

CAR & GENERAL (KENYA) PLC

COMPANY STATEMENT OF PROFIT OR LOSS AND OTHER
COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 SEPTEMBER 2017

	Notes	2017 Sh'000	2016 Sh'000
REVENUE		89,796	122,116
DIRECT COSTS		(3,989)	(20,437)
GROSS PROFIT		85,807	101,679
OTHER INCOME		27,952	16,498
GAIN IN FAIR VALUE OF INVESTMENT PROPERTIES	13	168,824	102,203
SELLING AND DISTRIBUTION COSTS		-	(11,862)
ADMINISTRATIVE EXPENSES		(132,730)	(67,404)
FINANCE COSTS		(2,902)	(1,915)
NET FOREIGN EXCHANGE LOSSES		(6,626)	(32,090)
PROFIT BEFORE TAXATION		140,325	107,109
TAXATION (CHARGE)/CREDIT	9	(59,321)	18,033
PROFIT FOR THE YEAR		81,004	125,142
OTHER COMPREHENSIVE INCOME:			
<i>Items that will not be reclassified subsequently to profit or loss:</i>			
Revaluation surplus on property, net of deferred tax		32,900	22,854
<i>Items that may be reclassified subsequently to profit or loss:</i>			
Exchange difference arising on translation of foreign operations		(15,160)	17,389
		17,740	40,243
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		98,744	165,385

CAR & GENERAL (KENYA) PLC

CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 30 SEPTEMBER 2017

	Notes	2017 Sh'000	2016 Sh'000
ASSETS			
Non-current assets			
Investment properties	13	2,778,042	2,555,412
Property, plant and equipment	15	1,408,213	1,417,614
Intangible assets	17	16,331	3,557
Investment in an associate	19	26,815	-
Investment in joint venture	20	222,442	-
Deferred tax asset	25(b)	135,951	61,762
		4,587,794	4,038,345
Current assets			
Inventories	21	2,898,840	3,598,384
Trade and other receivables	22	1,452,970	1,829,998
Due from directors	23(a)	31	79
Due from related parties	23(c)	147,522	-
Corporate tax recoverable	9(c)	51,075	45,664
Cash and bank balances	28(c)	261,775	192,728
		4,812,213	5,666,853
Total assets			
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	24	200,516	200,516
Revaluation surplus		647,412	604,493
Retained earnings		2,349,133	2,271,246
Exchange translation reserve		(35,802)	(22,903)
Equity attributable to owners of the parent		3,161,259	3,053,352
Non-controlling interests	10	196,548	185,187
Total equity		3,357,807	3,238,539
Non-current liabilities			
Deferred tax liability	25(b)	779,478	710,939
Borrowings	26	426,993	119,498
		1,206,471	830,437
Current liabilities			
Borrowings	26	3,118,919	3,389,099
Trade and other payables	27	1,716,668	2,245,456
Corporate tax payable	9(c)	142	1,667
		4,835,729	5,636,222
Total equity and liabilities			
		9,400,007	9,705,198

The financial statements on pages 19 to 71 were approved by the board of directors on 26 January 2018 and were signed on its behalf by:


 N. Ng'ang'a
 Director


 V. V. Gidoomal
 Director

CAR & GENERAL (KENYA) PLC

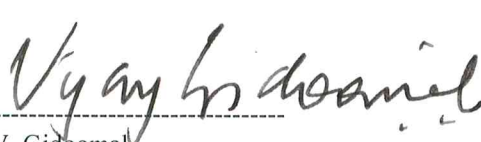
COMPANY STATEMENT OF FINANCIAL POSITION
AS AT 30 SEPTEMBER 2017

	Notes	2017 Sh'000	2016 Sh'000
ASSETS			
Non current assets			
Investment properties	13	1,607,662	1,445,092
Property, plant and equipment	16	499,282	462,791
Intangible assets	17	2,381	2,977
Investment in subsidiaries	18	26,844	26,844
		2,136,169	1,937,704
Current assets			
Inventories	21	-	15,171
Trade and other receivables	22	32,304	84,870
Due from directors	23(a)	31	79
Due from subsidiaries	23(b)	805,325	835,027
Due from related parties	23(c)	132,463	-
Corporate tax recoverable	9(c)	17,261	1,182
Cash and bank balances	28(c)	20,305	8,134
		1,007,689	944,463
Total assets			
		3,143,858	2,882,167
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	24	200,516	200,516
Revaluation surplus		407,319	380,340
Retained earnings		1,136,249	1,049,324
Exchange translation reserve		3,329	18,489
Total shareholders' funds		1,747,413	1,648,669
Non current liabilities			
Deferred tax liability	25(a)	599,248	536,560
Borrowings	26	6,614	5,563
		605,862	542,123
Current liabilities			
Borrowings	26	101,585	554,963
Trade and other payables	27	46,251	85,025
Due to subsidiaries	23(d)	642,747	51,387
		790,583	691,375
Total equity and liabilities			
		3,143,858	2,882,167

The financial statements on pages 19 to 71 were approved by the board of directors on 26 January 2018 and were signed on its behalf by:



N Ng'ang'a
Director



V. V. Gidoomal
Director

CAR & GENERAL (KENYA) PLC
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 SEPTEMBER 2017

	Share capital Sh '000	Revaluation surplus Sh '000	Retained earnings Sh '000	Exchange translation reserve (deficit) Sh '000	Attributable to owners of the parent Sh '000	Non - controlling interests Sh '000	Total Sh '000
Year ended 30 September 2016							
At 1 October 2015	200,516	508,856	2,174,032	(47,663)	2,835,741	185,372	3,021,113
Profit for the year	-	-	89,057	-	89,057	(185)	88,872
Revaluation surplus on property net of deferred tax	-	103,794	-	-	103,794	-	103,794
Exchange difference arising on translation of foreign operations	-	-	-	24,760	24,760	-	24,760
Total comprehensive income for the year	-	103,794	89,057	24,760	217,611	(185)	217,426
Transfer of excess depreciation	-	(10,654)	10,654	-	-	-	-
Deferred tax on excess depreciation transfer	-	2,497	(2,497)	-	-	-	-
At 30 September 2016	200,516	604,493	2,271,246	(22,903)	3,053,352	185,187	3,238,539
Year ended 30 September 2017							
At 1 October 2016	200,516	604,493	2,271,246	(22,903)	3,053,352	185,187	3,238,539
Profit for the year	-	-	68,480	-	68,480	11,361	79,841
Revaluation surplus on property net of deferred tax	-	52,326	-	-	52,326	-	52,326
Exchange difference arising on translation of foreign operations	-	-	-	(12,899)	(12,899)	-	(12,899)
Total comprehensive income for the year	-	52,326	68,480	(12,899)	107,907	11,361	119,268
Transfer of excess depreciation	-	(12,449)	12,449	-	-	-	-
Deferred tax on excess depreciation transfer	-	3,042	(3,042)	-	-	-	-
At 30 September 2017	200,516	647,412	2,349,133	(35,802)	3,161,259	196,548	3,357,807

CAR & GENERAL (KENYA) PLC

COMPANY STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 SEPTEMBER 2017

	Share capital Sh '000	Revaluation surplus Sh '000	Retained earnings Sh '000	Exchange translation reserve Sh '000	Total Sh '000
Year ended 30 September 2016					
At 1 October 2015	200,516	363,312	918,356	1,100	1,483,284
Profit for the year	-	-	125,142	-	125,142
Revaluation surplus on property net of deferred tax	-	22,854	-	-	22,854
Exchange difference arising on translation of foreign branch	-	-	-	17,389	17,389
Total comprehensive income for the year	-	22,854	125,142	17,389	165,385
Transfer of excess depreciation	-	(8,323)	8,323	-	-
Deferred tax on depreciation transfer	-	2,497	(2,497)	-	-
At 30 September 2016	200,516	380,340	1,049,324	18,489	1,648,669
Year ended 30 September 2017					
At 1 October 2016	200,516	380,340	1,049,324	18,489	1,648,669
Profit for the year	-	-	81,004	-	81,004
Revaluation surplus on property net of deferred tax	-	32,900	-	-	32,900
Exchange difference arising on translation of foreign branch	-	-	-	(15,160)	(15,160)
Total comprehensive income for the year	-	32,900	81,004	(15,160)	98,744
Transfer of excess depreciation	-	(8,459)	8,459	-	-
Deferred tax on depreciation transfer	-	2,538	(2,538)	-	-
At 30 September 2017	200,516	407,319	1,136,249	3,329	1,747,413

CAR & GENERAL (KENYA) PLC

CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 SEPTEMBER 2017

	Notes	2017 Sh'000	2016 Sh'000
Cash flows from operating activities			
Net cash generated from/(used in) operations	28(a)	633,186	(186,095)
Corporate tax paid	9(c)	(40,613)	(37,124)
Net cash generated from/(used in) operating activities		592,573	(223,219)
Cash flows from investing activities			
Purchase of property, plant and equipment	15	(57,795)	(357,309)
Purchase of intangible assets	17	(13,731)	-
Investment in associate company	19	(26,815)	-
Investment in joint venture	20	(222,442)	-
Proceeds on disposal of net assets to joint venture		187,144	-
Proceeds on disposal of investment properties		-	225,000
Proceeds on disposal of property, plant and equipment		10,009	2,250
Net cash used in investing activities		(123,630)	(130,059)
Cash flows from financing activities			
Loans received	28(b)	5,107,571	7,169,229
Loans repaid	28(b)	(4,997,684)	(6,398,648)
Interest paid	6	(407,625)	(392,655)
Net cash (used in)/generated from financing activities		(297,738)	377,926
Net increase in cash and cash equivalents		171,205	24,648
Cash and cash equivalents at the beginning of year		88,919	68,443
Effects of exchange rate changes on the balance of cash held in foreign operations		(1,771)	(4,172)
Cash and cash equivalents at the end of year	28(c)	<u>258,353</u>	<u>88,919</u>

CAR & GENERAL (KENYA) PLC

COMPANY STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 SEPTEMBER 2017

	Notes	2017 Sh'000	2016 Sh'000
Cash flows from operating activities			
Net cash generated from/(used in) operations	28(a)	506,253	(507,768)
Corporate tax paid	9(c)	(26,812)	(23,582)
Net cash generated from/(used in) operating activities		479,441	(531,350)
Cash flows from investing activities			
Purchase of property, plant and equipment	16	(732)	(2,084)
Proceeds on disposal of property, plant and equipment		-	225,380
Net cash used in investing activities		(732)	223,296
Cash flows from financing activities			
Loans received	28(b)	572,112	1,225,484
Loans repaid	28(b)	(989,378)	(918,596)
Interest paid		(2,902)	(1,915)
Net cash (used in)/generated from financing activities		(420,168)	304,973
Net increase/(decrease) in cash and cash equivalents		58,541	(3,081)
Cash and cash equivalents at the beginning of year		(38,236)	(35,155)
Cash and cash equivalents at the end of year	28(c)	20,305	(38,236)

Car & General (Kenya) Limited – Audited results 30 September 2017

Overall the year has been extremely challenging. Turnover for the year ended September 2017 was KSh 9.6 billion which was similar to Ksh 9.7 billion achieved the previous financial year. The reported turnover figure excludes sales from our joint venture with Cummins which are no longer consolidated

Profit after tax over the same period was KSh 80 million which is 10% lower than Kshs 89 million made during the same period last year. This decline was largely attributable to the following;

- 1) Weaker performance of the Equipment Business (generators, construction equipment, tractors and forklifts) resulting from the contraction in these specific markets due to constrained liquidity conditions, the drought and uncertainty during the election process.
- 2) Increased debtor provisions (specifically in the retail sector) and inventory write downs. The majority of these are non recurrent.

In Kenya, the highlight of the financial year was the growth in volume in our consumer business. This was partially driven by the launch of new models of two wheelers and three wheelers. Furthermore, we entered the finance business relating to these products which will bear fruit in years to come. In spite of the decline in equipment sales, market shares have increased on a more disciplined basis.

In addition, we signed a joint venture agreement with Cummins to form a partnership. This was concluded on 31 March 2017. We expect this partnership to generate positive returns in the medium term.

In Tanzania, we maintain strong market share in our three wheeler business. We also made significant market share gains in the two wheeler segment which offset the decline in generator and other equipment sales. Margins remain low and we expect these to improve in 2018.

In Uganda and Rwanda, our business is mainly equipment related. Uganda has performed reasonably. Rwanda is small and has grown marginally..

The Poultry operations in Tanzania continue to perform poorly. We expect a turnaround in 2018 having downsized operations.

The Investment Property valuations are now stabilising and the objective is to embark on two small property developments in 2018 and to liquidate some non core property.

The Company now has a complete product line up with good balance, a solid infrastructure and an expanding distribution network.

Future Outlook

Trading conditions this financial year look positive now that political stability has returned. We expect reasonable growth in all businesses. This volume will be critical to the profitability of the Group recognizing that our newer businesses are yet to achieve critical scale. Our focus will be on generating growth and establishing leading positions in core products in their respective markets. Critical to success will be to maintain high market share across the board and to operate more efficiently in terms of working capital, particularly in our equipment businesses, to reduce debt exposures and generate positive cashflow. We are confident that we are well positioned to achieve these goals.

Final dividend

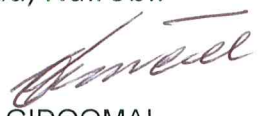
The directors have resolved to recommend to shareholders at the Annual General Meeting to be held on 26 March 2018 a first and final dividend for the year ended 30 September 2017 of Ksh 0.60 per share declared payable to those shareholders registered at close of business on 19 February 2018.

Closure of register

Notice is hereby given that the Register of Members will be closed on 19 February 2018 for purpose of the preparation of a dividend list.

Annual General Meeting

Notice is hereby given that the Annual General Meeting of the Company will be held on 26 March 2018 at 11.00am at the Southern Sun, Mayfair Hotel. Parklands Road, Nairobi.

for 
V V GIDOOMAL
MANAGING DIRECTOR